Three cross-cutting problems that are found in all organizations are human resource management, the financial process and the procurement process. In the Indian state, so far, these processes have not been properly established. This hobbles the working of all parts of the Indian state.

Large organizations require well structured process manuals, and internal audit mechanisms to ensure that the process manuals are being complied with. In the Indian state, there are process manuals governing homeostatic functions—e.g., how pencils are purchased—but organizations generally lack formal processes for the substantive content of their work. The important decisions are taken in an informal way, through meetings and files. This lack of formal processes induces reduced capability, and a high vulnerability of performance to staffing changes.

In every organization, there are front-line producers and then there is an enormous overhead of monitoring, measurement, management and strategy. A low teeth-to-tail ratio is required for the organization to work well. Too often, in India, we have organizations which are all teeth and no tail. In the Mumbai Police, the bulk of resourcing goes into hiring front-line policemen, and there is little time or prioritization for the ‘overheads’ of information, planning, management. This induces poor management and thus poor performance. Similar problems are found in hospitals, courts, etc., where the typical government organization is all teeth and no tail; there is negligible management capacity.

More generally, in the Indian policy discourse, we tend to glorify the field perspective, and downplay policy thinking. We tend to denigrate the knowledge obtained from the analysis of data, from meetings in air-conditioned offices. This generates poor functioning of organizations. A great beat constable does not make a good head of police.

Finally, there is a connection between administrative capacity in the country and the administrative capacity in the state. An example of this problem is seen in the GST, which calls for substantial record-keeping capabilities in all firms. When most firms by number are in the informal sector, this hampers the possibilities for building capability in the government.